

PART V. CONCLUSIONS AND RECOMMENDATIONS

CHAPTER 13. CONCLUSIONS ON THE CONDITIONS DEFINED IN THE ACT

150. The conditions to which the Act applies prevail, under Section 3, if at least one-third of the goods supplied in the United Kingdom are supplied by persons who, whether by agreement or not, so conduct their affairs as to restrict competition.

151. Supply and production of linoleum are better measured by value than by volume, because of the wide range of types and gauges. We have, therefore, used the value of manufacturers' home sales to indicate supplies in the United Kingdom.

152. As we have shown in paragraph 129, the members of the L.M.A. together supplied in the two years preceding 31st January, 1954, 79·5 per cent. and 81·9 per cent. by value of the total home trade in linoleum. We have no reason to think that there has been any substantial change in this proportion. Since the members of the L.M.A. operate a common price system and other practices which restrict competition we conclude that the conditions to which the Act applies prevail as respects the supply of linoleum.

CHAPTER 14. THE L.M.A.'S CASE

Common Prices

153. *General.* The L.M.A. maintain that their common price system is in the public interest. They say that their aims are consistent with section 14 of the Act and that their arrangements must be viewed in the context of strong competition from other floor coverings and from the outside linoleum manufacturers. Membership of the L.M.A. is not essential for the conduct of a successful manufacturing business in linoleum and members are always free to leave. They insist also that common prices at home are necessary to support a valuable export trade.

154. *Competition in quality.* The L.M.A.'s case is that under common prices the restriction on price competition "has enhanced competition in quality and service. This is specially important as the customer can only judge quality after years of use . . . Complete price competition would in times of depression debase quality. . . ." The Association adopted their present price policy at their formation in 1934 to remedy the "cut-throat" competition which prevailed in the preceding years. Had such conditions continued they would have been damaging to the trade both at home and abroad. "Quality has risen since there has not been cut-throat price competition," and the public get a better quality linoleum than they would without the common price system.

155. *Stability of prices.* The L.M.A. maintain that the common price system helps to moderate prices in times of scarcity when they would otherwise rise, and intensifies competition in production and marketing. Although it introduces some rigidity into the trade, it ensures stable prices for considerable periods by evening out "the rapid fluctuations which might otherwise have occurred due to fluctuating cost of raw materials." It encourages traders to hold stocks and enables the industry to undertake more research and development.